

Intermodal Motor Carriers Conference, et al.

v.

Ocean Carrier Equipment Management Association, Inc., et al.

FMC Docket No. 20-14

Respondents' Motion for Summary Judgment

Public Version – Confidential Materials Excluded

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,	)	
AMERICAN TRUCKING ASSOCIATIONS, INC.	)	
	)	
Complainant,	)	
	)	
v.	)	
	)	FMC Docket No. 20-14
OCEAN CARRIER EQUIPMENT MANAGEMENT	)	
ASSOCIATION, INC.; CONSOLIDATED CHASSIS	)	
MANAGEMENT, LLC; CMA CGM S.A.; COSCO	)	
SHIPPING LINES CO. LTD.; EVERGREEN LINE	)	
JOINT SERVICE AGREEMENT, FMC NO. 011982;	)	
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK	)	
A/S; MSC MEDITERRANEAN SHIPPING	)	
COMPANY S.A.; OCEAN NETWORK EXPRESS	)	
PTE. LTD.; WAN HAI LINES LTD.; YANG MING	)	
MARINE TRANSPORT CORP.; AND	)	
ZIM INTEGRATED SHIPPING SERVICES,	)	
	)	
Respondents.	)	
	)	

MEMORANDUM OF LAW IN SUPPORT OF
RESPONDENTS' MOTION FOR SUMMARY JUDGMENT

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**MEMORANDUM OF LAW IN SUPPORT OF
RESPONDENTS' MOTION FOR SUMMARY JUDGMENT**

CMA CGM S.A. (“CMA”), COSCO Shipping Lines Co. Ltd. (“COSCO”), Evergreen Line Joint Service Agreement, FMC No. 011982 (“Evergreen”), Hapag-Lloyd AG (“Hapag-Lloyd”), HMM Co. Ltd. (“HMM”), Maersk A/S (“Maersk”), MSC Mediterranean Shipping Company S.A. (“MSC”), Ocean Network Express Pte. Ltd. (“ONE”), Wan Hai Lines Ltd. (“Wan Hai”), Yang Ming Marine Transport Corp. (“Yang Ming”), and ZIM Integrated Shipping Services (“ZIM”) collectively, “ocean carrier Respondents” and together with Ocean Carrier Equipment Management Association, Inc. (“OCEMA”) and Consolidated Chassis Management, LLC (“CCM”), “Respondents”, submit this memorandum of law in support of their motion for summary judgment (“Motion”) in the above-captioned proceeding (the “Complaint”).

I. Introduction

A. IMCC and the Large Trucking Companies that Control It

IMCC, which portrays itself as a representative of hundreds of motor carrier members in this proceeding, is in actuality controlled by a handful of large motor carriers who also own the North American Chassis Pool Cooperative, LLC (“NACPC”) (Complaint, ¶6). Five of the IMCC’s Board members and four of the IMCC’s Executive Committee members,¹ comprise nine of the eleven corporate members of NACPC, each of whom hold a [REDACTED] equity interest in this “for profit” corporation. (SOMF #3 – 16)²

Formed in 2012, NACPC is an intermodal equipment provider (“IEP”) whose owners aspire to compete on a national scale with the three major providers of intermodal chassis: Direct ChassisLink, Inc. (“DCLI”), Interpool Inc. d/b/a TRAC Intermodal (“TRAC”) and Flexi-Van

¹ These entities approved the filing of this lawsuit and funded this litigation. (Complaint, ¶6)

² SOMF refers to the Statement of Material Facts accompanying this motion.

Leasing, Inc. (“Flex-Van”) (collectively, “the IEPs”). (SOMF #33, 37 and 41) Yet, after almost ten years of operation, NACPC contributes only approximately 21,000 chassis to pools operated by CCM, and several thousand chassis to its proprietary “premium” pools. In contrast, DCLI, TRAC and Flexi-Van contribute more than 500,000 chassis to pools throughout the country.

The record is replete with statements by IMCC and NACPC members that attribute the latter’s stunted expansion to alleged anti-competitive behavior by the IEPs. (See, Mark George Dep., p. 124, APP 0178; Exh. 23, APP 0229, characterizing TRAC and DCLI as engaging in [REDACTED]) But rather than directly challenge those IEPs whose activities they allege to be anti-competitive, the members of NACPC have fixed their sights on the ocean carrier Respondents, who are the customers of the IEPs. Using the IMCC as their foil to prosecute this proceeding, the owners of NACPC seek to portray the ocean carrier Respondents as involved in a fantastic conspiracy with each other and the three major IEPs, all with the intent to harm motor carriers. IMCC alleges that this conspiracy, and the alleged harms to motor carriers and the shipping public, warrant rulings from the Federal Maritime Commission (“FMC”) which IMCC hopes will require that IEPs (over which the FMC has no jurisdiction) and ocean carrier Respondents to adopt business models and practices that are financially beneficial to NACPC and the motor carriers that own it, thus enabling NACPC to artificially increase its IEP market share. Fortunately, the facts show that there is no such conspiracy, and there is no basis to use the U.S. Shipping Act of 1984, as amended (the “Act”) to advance the IMCC – NACPC business objectives against other IEPs.

For the reasons discussed below, the IMCC has failed to meet its burden to show that the alleged “misconduct by OCEMA, its affiliates, its ocean carrier members, and signatories to the CCMP Agreement” constitute unlawful or unreasonable practices under 46 U.S.C. § 41102(c).

IMCC's real complaint--that the diverse chassis provisioning models presently in use in the industry should be changed to serve the narrow financial interests of NACPC member trucking companies, is not cognizable under the Act. The Complaint should accordingly be dismissed.

B. Complainant's Allegations

The motor carriers controlling the IMCC seek to have the FMC find that the individual practices that the ocean carrier Respondents use to provide intermodal chassis in multiple regions throughout the country are a violation of §41102(c) of the Act. Specifically, IMCC alleges that the ocean carrier Respondents have:

- Exercised control over requests for choice in CCM pools through Rule 5.7 of the CCM Operations Manual, claiming that the latter imposes consent by ocean carrier Respondents over requests for chassis Choice (Complaint, ¶¶ 3a; 44);
- Systematically denied consent to motor carriers' requests for chassis choice in CCM pools (Complaint, ¶¶ 3b; 44);
- Adopted and enforced "box rules" in Los Angeles/Long Beach and thereby prevented chassis choice (Complaint, ¶¶ 3c; 50);
- Withdrawn from CCM chassis pools and designated single provider chassis pools as default chassis providers (Complaint, ¶¶ 3d; 70)
- Solicited proposals for, and entered into, chassis usage agreements which designate a default chassis provider (Complaint, ¶¶ 3e) and compelled the IEPs to undercharge ocean carrier Respondents for carrier haulage movements and overcharge for chassis usage for merchant haulage ("MH") movements (Complaint, ¶¶ 3f).

As "a consequence of these unlawful practices," IMCC alleges in its Complaint, "ocean carrier respondents have caused motor carriers, their shipping and receiving customers, and ultimately the consuming public, to be overcharged in an amount that IMCC estimates to be as much as \$1.8 billion during the three years prior to the filing of this Complaint. (Complaint, ¶¶ 4, 82).

II. Procedural History

The Complaint was filed on August 17, 2020. On September 18, 2020, Respondents filed their Motion to Dismiss requesting that the Commission dismiss IMCC's Complaint on various grounds, including that the FMC lacks subject matter jurisdiction and the Complainant failed to name indispensable parties without whom relief cannot be granted. By Order dated November 18, 2020 (the "Order Denying Motion to Dismiss"), the ALJ held that "Complainant makes a plausible case of jurisdiction" (Order Denying Motion to Dismiss, at 4); and "[a]t this early stage, the proceeding will not be dismissed for failure to join a necessary party." Order Denying Motion to Dismiss, at 6. On December 3, 2020, Respondents filed a Motion For Leave to File Interlocutory Appeal seeking leave to appeal the ALJ's Order Denying Respondents' Motion to Dismiss. By Order, dated January 29, 2021 ("Order Denying Motion For Leave"), the ALJ denied Respondents' Motion For Leave to File Interlocutory Appeal.

Following the issuance of those rulings, the parties engaged in discovery during which hundreds of thousands of responsive documents were produced by the Respondents, twenty-six fact depositions were conducted, reports were issued by industry experts and economists respectively retained by IMCC and Respondents, and the experts (four in total) were deposed. With discovery completed and the record developed, Respondents now file the within motion for summary judgment seeking dismissal on the grounds that: (1) the FMC lacks subject matter jurisdiction over the provision of intermodal chassis by IEPs to trucking companies; (2) Complainant has not met its burden of proof that Respondents have violated the Shipping Act; and (3) even if the Complaint was not dismissed on the first two grounds it should still be dismissed because the facts now unequivocally show that the IEPs are indispensable parties without whom complete relief cannot be granted.

III. Statement of Facts

The historical developments giving rise to the current models by which chassis are made available to users have been set forth in detail in the accompanying Statement of Material Facts and the Declaration of Douglass Coates dated April 29, 2022 (“Coates Declaration”). For the sake of brevity, they will not be reiterated here.

IV. Applicable Legal Standard to Grant Summary Judgment

The Commission’s rules of procedure and practice do not expressly provide for motions for summary judgment. However, Rule 12 (46 CFR §502.12) provides that the Commission will follow the Federal Rules of Civil Procedure (“FRCP”) to the extent that their application is consistent with sound administrative practice. Pursuant to Rule 56 of the FRCP, a party is entitled to the entry of summary judgment if “there is no genuine dispute as to any material fact and [the moving party] is entitled to judgment as a matter of law.” Fed. R. Civ. Pro. 56(a). *Tucker v. Johnson*, 211 F.Supp.3d 95, 99 (D.C. Cir. 2016). A material fact is one that is capable of affecting the outcome of litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). However, “[t]o defeat a motion for summary judgment, the non-moving party must offer more than mere unsupported allegations or denials.” *Dormu v. District of Columbia*, 795 F.Supp.2d 7, 17 (D.D.C. 2011) (citing *Celotex*, 477 U.S. at 324). If the non-movant’s evidence is “merely colorable” or “not significantly probative,” summary judgment may be granted. *Tucker*, 211 F.Supp.3d at 99, citing *Anderson*, 477 U.S. at 249–50.

The FMC applies similar standards as those discussed above. See, e.g., *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 32 S.R.R. 1185 (FMC 2013).

V. The Federal Maritime Commission Does Not Have Subject Matter Jurisdiction Over Intermodal Chassis

In this case IMCC has the burden of establishing that subject matter jurisdiction exists.

“Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406 (FMC 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)). In considering a Rule 12(b)(1) motion, the Presiding Judge may make appropriate findings without having to construe doubts or draw inferences in favor of the non-moving party.

A. The Shipping Act Does Not Regulate Chassis.

Intermodal chassis are subject to laws, regulations, conventions and standards, both internationally and nationally. The lease and utilization of intermodal chassis are not and have never been subject to laws, rules, or regulations administered by the FMC. An IEP that offers intermodal equipment, including chassis, for transportation must register as such with the Unified Registration System (URS) to comply with the Federal Motor Carrier Safety Regulations. Thereafter, the Federal Motor Carrier Safety Administration (FMCSA) assigns the IEP a USDOT number, and the IEP is responsible for meeting FMCSA requirements in order to operate.

The Act does not regulate chassis, chassis lessors, or chassis leases. The Commission has not and does not exercise jurisdiction over the utilization of chassis in the interchange of intermodal equipment in connection with motor carriers and railroads. Such domestic transportation by motor carriers and railroads is outside the Commission’s regulatory authority and subject to the jurisdiction of the Surface Transportation Board or the FMCSA. The IEPs are not parties to this proceeding, but are nevertheless central to it, [REDACTED]

[REDACTED]. ([REDACTED]
[REDACTED]
[REDACTED])

B. The Commission Lacks Authority to Regulate IEPs and Motor Carriers in Connection With Chassis.

The transportation services at issue here concern the provision of chassis for use in intermodal transportation, but specifically *just the inland domestic movements under merchant haulage*,³ not the combined ocean and intermodal through shipments under which the inland movement is referred to as carrier haulage. The chassis interchange agreements are executed between the ocean carriers and the IEPs under carrier haulage, and between truckers and IEPs under merchant haulage, and in both cases the chassis are transported domestically by the motor carriers. The IEPs and the motor carriers are not persons covered by the Act, and the Commission does not regulate the utilization of chassis. Thus, in the Act Congress has limited the Commission's jurisdiction with respect to chassis.

The Commission acknowledges the limitations of its jurisdiction in the following, often-quoted passage:

[W]e wish to point out that this agency's jurisdiction is as set out in statute, and we cannot, by our own act or omission enlarge or divest ourselves of that statutory jurisdiction.
American Union Transport v. River Plate & Brazil Confs., 5 FMB 216, 224 (FMC 1957).

See, also, Austasia Intermodal Lines v. FMC, 580 F.2d 642, 646 (D.C. Cir. 1978), wherein the D.C. Circuit recognized the "remedial purposes of the Shipping Act to prevent discrimination in the shipping industry and to promote healthy competition among carriers . . ." but the court admonished that the Commission was prohibited from expanding "the scope of legislation beyond what was originally intended by Congress."

The assertion of subject matter jurisdiction in this case warrants heightened scrutiny,

³ "Merchant haulage" or "MH" refers to a transportation arrangement under which the cargo interest generally is responsible for the cost of the chassis used to move containerized cargo beyond the port. "Carrier haulage" or "CH" refers to a transportation arrangement under which the ocean carrier is responsible for the cost of the chassis used to move containerized cargo beyond the port.

premised as it is on a nuanced indirect theory that “Respondents’ regulations and practices *relate to* delivery on a through rate and to terminal efficiency.” Order Denying Motion to Dismiss at 3. To be clear, Complainants are not basing jurisdiction on Respondents’ practices for actually providing chassis from IEPs for container “delivery on a through rate,” but instead they are arguing that subject matter jurisdiction should extend to the otherwise unregulated activity of truckers and IEPs for inland only moves because the IEPs’ provision of chassis to truckers “relate to” ocean carrier provision of chassis under through moves. Complainant cites no authority in support of such a sweeping jurisdictional overreach, and we find none.

Further, the Complainant has failed to substantiate its allegations that Respondents in fact control the provision of chassis to truckers for domestic only movements. Specifically, citing paragraphs 3, 4, 47 and 49 of its Complaint in support, IMCC premises its “relate to”/control theory of subject matter jurisdiction on assertions that ocean carriers allegedly “systematically” deny trucker choice using CCM rule 5.7; enforce “box rules” in the LA/Long Beach Pool of Pools; and have contracts for provision of chassis for carrier haulage moves using IEP single provider pools. [See IMCC Opp. To Mot. To Dismiss 10-12]. In ruling on the Motion to Dismiss, the Presiding Officer found that “[a]ccepting the allegations in the complaint as true” (as was the appropriate standard of review at that stage) “subject matter jurisdiction is sufficiently alleged” because “Complainant makes a plausible claim of jurisdiction by alleging that ocean carriers affect and exert control over chassis availability through their regulations and practices.” Order Denying Motion to Dismiss at 4.

However plausible that claim might have been when the Presiding Officer was required to accept the facts alleged in the Complaint as true, it is not plausible in the face of the record now. Each of the key contentions upon which IMCC’s jurisdictional bootstrapping theory relies is

unsupported by the evidence: There is no genuine issue of material fact in dispute that (1) Respondent ocean carriers *do not* in fact “systematically” deny trucker choice using CCM rule 5.7; (2) ocean carriers *do not* enforce “box rules” in the LA/Long Beach Pool of Pools, and (3) ocean carrier contracts for provision of chassis for carrier haulage moves using IEP single provider pools *do not* restrict trucker choice for use of chassis in merchant haulage moves. (See, Point VI. E 2, *infra* and Coates Declaration, p. 7-13)⁴

C. **The Commission Lacks Statutory Authority to Remedy Every Allegation of Misconduct Against Unregulated Parties**

The Commission has shown interest in the utilization of chassis and their importance in facilitating the inland transportation of containers. However, the Commission is constrained by the jurisdictional authority it has been delegated. The Commission lacks authority to rectify every alleged act of unfairness. In fact, the Commission has long recognized that the Shipping Act’s primary purpose is to protect customers of the shipping industry and not members of the industry. See, *Boston Shipping Association v. F.M.C.*, 706 F. 2d 1231, 1238 (1st Cir. 1983) and *New York Shipping Association v. F.M.C.*, 854 F. 2d 1338, 1374 (D.C. Cir. 1988), cert. denied, 488 U.S. 1041 (1989). Legislative intent of the 1984 Act underscores this primary purpose: minimizing regulation and government involvement in shipping operations with the primary role of the Commission to be protecting carriers, shippers and ports from unfair or discriminatory practices. Shipping Act, Section 2 (46 U.S.C. §40101). Motor carriers are not within this zone of protection.

McKenna Trucking, *supra*, discussed below, supports the proposition that the Commission lacks authority to regulate relationships between ocean carriers and unregulated members of the

⁴ IMCC’s “efficiency” argument is even more implausible. IMCC fails to remotely meet its burden of establishing that hypothetical terminal efficiency impacts extend jurisdiction over unregulated parties and otherwise unregulated activities that might have effects on terminal efficiency. Moreover, the Act does not require regulated parties to enhance the efficiency of other parties or the supply chain generally.

industry, i.e. motor carriers, even when there are allegations of unlawful, prejudicial and discriminatory conduct under the Shipping Act. *McKenna Trucking Company v. A.P. Moller-Maersk Line and Maersk Incorporated*, 27 SRR 1045 (ALJ 1997); Administratively Final: June 23, 1997; Complaint Dismissed, 27 SRR 1343 (ALJ 1997); Administratively Final: September 16, 1997 (“*McKenna Trucking*”).

The *McKenna Trucking* case pointedly confirms the Commission’s lack of subject matter authority to regulate wrongdoing alleged by a motor carrier against an ocean carrier. In that case, complainant McKenna Trucking Company, a motor carrier engaged in hauling containers to and from vessels in the New York/New Jersey port area, alleged that Maersk Line and its agent selected another motor carrier affiliated with respondents, Bridge Terminal Transport, Inc., to perform all drayage services under Maersk’s intermodal tariff; that Maersk’s actions unlawfully favored another motor carrier; and unreasonably deprived McKenna Trucking of the considerable Maersk business it previously enjoyed; that cargo interests were deprived the ability to select the intermodal carriers of their choice for hauling their cargo; and that respondents engaged in anticompetitive, prejudicial and discriminatory conduct in violation of the Act.

In their motion for summary judgment with respect to McKenna’ Trucking’s complaint, the respondent ocean carrier challenged Commission subject matter jurisdiction, contending that the activities between a carrier (Maersk) and a trucker furnishing services to such carrier and ultimately to the shipper were outside the Commission’s authority and that shipper customers, the primary beneficiaries of the Act, were not harmed by the arrangement between Maersk and B.B.T. Subsequently, the presiding officer, dismissed the complaint under stipulation of the parties. In granting dismissal, the presiding officer expounded:

Under applicable case law, the Commission and the courts have repeatedly emphasized that the primary concern of the Shipping Act is to protect the

shipping public, not members of the transportation industry, at least under the sections of the Act cited by McKenna Trucking.

* * * * *

The Commission has no time or resources or indeed authority to entertain proceedings when there is no evidence that the case implicates the Commission's jurisdiction under the Shipping Act of 1984. *McKenna, supra*, at 1344.

The motor carriers' attempted intrusion into the ocean carrier Respondents' provision of chassis in coordination with the IEPs is similar to the attempted intrusion in *McKenna Trucking*, over which the Commission found it lacked jurisdiction. Motor carriers are demanding that the terms of chassis agreements benefit them financially in the absence of any monetary investment by motor carriers in purchasing or providing chassis. The Commission should not regulate practices involving the provision of chassis when to do so would enlarge Commission jurisdiction, particularly given the fact that motor carriers are not a protected class within the Act and are excluded from Commission statutory authority. Including disgruntled motor carriers within this zone of protected interests over which the Commission otherwise exercises no regulatory authority overreaches the intent of Congress, misapplies the prohibitions found in the Act, and dilutes the Commission's enforcement capacity needed to protect the intended beneficiaries of the Act. *Id.*

VI. The Complainant Has Failed to Establish that Respondents' Alleged Conduct Violates Section 41102(c) of the Act

IMCC seeks a ruling that the U.S. chassis supply business models and practices of the ocean carrier Respondents in this proceeding violate §41102(c) of the Act. As explained below, application of the appropriate legal standard to the undisputed facts established by the evidence adduced in this proceeding demonstrates that IMCC has failed to establish that the challenged practices are unreasonable.

A. The Applicable Legal Standard

FMC precedent interpreting Section 41102(c) and its predecessors held that:

“Reasonable” may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable,” or “fit and appropriate to the end in view.” Black’s Law Dictionary, Fourth Edition. It is by application to the particular situation or subject matter that words such as ‘reasonable’ take on concrete and specific meaning... we think that “just and reasonable practice” most appropriately means a practice, otherwise lawful but not excessive and which is fit and appropriate to the end in view. *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan and Its Member Lines*, 1988 WL 340659 (FMC, 1988)

See also, Ceres Marine Terminals, Inc. v. Maryland Port Admin. 29 S.R.R. 356, 369, 372 (FMC 2001), “The Commission has held that ‘reasonable’ may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable,” or “fit and appropriate to the end in view (citing *Distribution Services, supra*).

As explained below, IMCC has not established that (i) the practices are unlawful; (ii) the practices are excessive or not fit and appropriate to the end in view; or (iii) that the practices are the proximate cause of the alleged harm.

B. IMCC Has Not Established That The Alleged Practices Are Unlawful

The only claim by IMCC that approaches an allegation that Respondents’ alleged practices are unlawful is the suggestion of a conspiracy among the ocean carrier Respondents, allegedly coordinated through OCEMA and CCM, to deny choice. IMCC has produced no evidence of such a conspiracy, and the undisputed facts show that (i) each of the ocean carrier Respondents have developed their own individual business models and practices to make adequate chassis supplies available for their respective customers, including individualized negotiations and contracts with IEPs; (ii) ocean carrier Respondents generally grant requests for choice; and (iii) the terms of chassis usage agreements which provide favorable rates to ocean carriers for chassis utilized in CH moves are the lawful result of the ocean carriers’ commitment to long-term leases and usage

volumes. These undisputed facts demonstrate that the practices of ocean carrier Respondents, which IMCC challenges, are not unlawful. Accordingly, IMCC has failed to prove one of the alternative elements of a claim of an unreasonable practice.

C. IMCC Has Not Demonstrated The Respondents' Practices Are Excessive

Another element of a claim of an unreasonable practice is the extent to which the practice in question is not excessive, and fit and appropriate to the end in view. IMCC has failed to meet its burden to demonstrate that the alleged practices it seeks to challenge are excessive and/or inappropriate to the end in view. In this instance, the end in view is the provision of adequate chassis supplies in regions where they are needed,⁵ in order to meet the needs of their respective customers moving shipments on CH and MH terms.⁶

It is undisputed that while motor carriers assume the obligation to ensure adequate chassis are available to move containers in most of the world, they generally have not done so in the United States, contractually or otherwise. ([REDACTED]

[REDACTED]) In the U.S., ocean carriers are by default the only entities that have been willing to step up and ensure an adequate supplies of chassis for their cargo containers. ([REDACTED]). In order to ensure that sufficient chassis are supplied to and available at specific locations, the IEPs need some assurances that their assets will be utilized with sufficient frequency to yield a reasonable return on their investment. If ocean carriers

⁵ Notably, IMCC's expert on the U.S. intermodal supply chain and transportation industry, agrees with the importance of this objective:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

(Rodrigue Dep., p. 135, l. 25 – p.

136, l. 20; APP 0513-4)

⁶ In contrast, the end in view of the Complaint, articulated at ¶1e of the Request for Relief, is to mandate that all chassis be provided through gray pools, an argument is not supported by any authority.

did not make contractual commitments to utilize the chassis of a particular IEP, the IEP would be less likely to provide chassis at the location in question. ([REDACTED] [REDACTED]). IMCC does not come even close to offering evidence that ocean carriers entering into long term contracts for chassis is excessive to the end in view.

D. IMCC Has Not Overcome The Deference The Commission Gives To Reasonable Business Discretion

The IMCC has failed to demonstrate the challenged practices are unlawful because it has not overcome the deference the Commission gives to reasonable business discretion. In this regard, the Commission has recognized that commercial arrangements which “appear[] financially attractive and congruent with [a party’s] long term development strategy” are evidence of reasonable business discretion. (*Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. at 899). Here, the undisputed facts on the record demonstrate that ocean carriers, in various ways, have pursued financially attractive chassis arrangements that support individual strategic objectives, including through attention to customer relationships and deliberative provision of chassis for all container movements. These individualized and financially sensitive actions are in line with the Commission’s findings that such actions are reasonable and not excessive.

Furthermore, in *Maher Terminals, LLC v. PANYNJ*, 33 S.R.R. 853, the Commission declined to investigate claims of unreasonableness through complicated economic analysis when the complainant’s rent was “reasonable related to the benefits it received from its lease.” Applying that analysis here, the investigation into whether IMCC’s constituents were treated reasonably would include analysis of whether motor carrier chassis rental rates are reasonably related to the benefits they receive from the costs. As discussed below, IMCC’s members have been able to recoup the costs of daily chassis rentals from their customers with a markup such that they profit from providing MH service. In addition, through using a daily chassis rental instead of a trucker-

owned chassis, motor carriers forego any risk and complexity associated with chassis ownership. Using this analysis, motor carrier chassis rental costs are reasonably related to the benefits they receive from the costs.

Notably, the Commission has emphasized the need for flexibility when evaluating commercial relationships:

Importantly, the Commission has evaluated **reasonableness** in a commercial context, stating that parties should be afforded “discretion to exercise business judgment,” including “when imposing [] fees.” Ceres Marine Terminals, Inc. v. Maryland Port Admin., 29 S.R.R. 356, 369, 372 (FMC 2001) (“The Commission is not responsible for ensuring that everybody makes a good deal - just that the commercial environment is not hampered by unreasonable or unjustly discriminatory practices.”). *See also* Maher v. PANYNJ, 33 S.R.R. at 853 (noting that the Commission defers to commercial parties’ “reasonable”, discretionary business decisions.”) (citing Seacon Terminals, Inc. v. Port of Seattle, 26 S.R.R. at 899).

In light of the foregoing, IMCC has not met its burden of demonstrating that the challenged practices are unreasonable.

E. The Undisputed Facts Fatally Undermine The Factual Predicates Of IMCC’s Claims

An analysis of the undisputed factual record shows that the factual allegations central to IMCC’s claims are simply not supported by the record and that IMCC has failed to meet its burden of proof.

1. Complainant Fails to Establish that Rule 5.7 of the CCMP Operations Manual is Unlawful

IMCC alleges that the Respondents have violated the Act by “(a)dopting and enforcing CCM Pool Rule 5.7, giving ocean carriers ultimate control by mandating their power of ‘consent’ over chassis choice”. (Complaint, ¶3a) The Complaint alleges further that “the CCMP Operations Manual gives ocean carriers veto power over motor carrier chassis choice and prevents motor carriers from exercising ‘the freedom to use the chassis of [their] choice.’” (Complaint, ¶44) The undisputed facts demonstrate this claim is baseless.

Initially, uncontroverted testimony shows that section 5.7 of the CCMP Operations Manual was intended to facilitate the ability of individual ocean carriers to decide how best to permit and manage choice in CCM pools [REDACTED]

[REDACTED] ([REDACTED]).

The evidence also demonstrates that section 5.7 of the CCMP Operations Manual worked as intended. The facts show that ocean carrier respondents deployed *a wide and diverse range* of business models and practices with respect to provision of chassis and balancing different interests with respect to choice in CCM pools. So much so that even IMCC's expert witness on container operations matters conceded that the range of diverse business models included several ocean carriers chassis provision models that [REDACTED]

[REDACTED]

[REDACTED]

([REDACTED]) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

In addition to serving its intended function of allowing individual ocean carrier flexibility, there is no support for any claim that the ocean carrier Respondents systematically used section 5.7 to deny choice in CCM pools. The next section of this brief and the Coates Declaration, summarizes each ocean carrier Respondent's approach to choice, and the undisputed facts show that the vast majority of ocean carrier Respondents typically granted requests for choice.

2. Respondents Have Not Systematically Denied Choice Requests

IMCC alleges that “IMCC members have received innumerable denials - often with identical boilerplate language - rejecting motor carrier requests to designate a chassis provider other than the default chassis provider.” (Complaint, ¶44) However, the business practices of the ocean carrier Respondents, [REDACTED] confirm that, like the debunked claim that section 5.7 was used to systematically deny choice by the Respondents, the ocean carrier Respondents individually employ a wide range of practices in response to requests for choice from their customers and motor carriers.

As noted by Mr. Coates, the few examples relied upon by IMCC where requests for Choice were not approved, “appear to be the exception rather than the rule, and represent a very small number of the millions of container moves into and out of the U.S. each year.” (Coates Declaration, ¶21) IMCC has failed to establish that the alleged ocean carrier conduct was remotely “systematic” and has failed to establish that these exceptions are impermissible, insofar as section 5.7 works flexibly as intended, and the Commission has emphasized the need for flexibility when evaluating commercial relationships. *Ceres, supra*.

3. Respondents Have Not Adopted or Enforced “Box Rules” in Los Angeles/Long Beach

IMCC alleges that the ocean carrier Respondents have violated the Shipping Act by “(a)adopting and enforcing ocean carrier ‘box rules’ affecting containers in ports that have non-CCMP pools, such as in Los Angeles/Long Beach, that prevent chassis choice...” (Complaint, ¶3c) *See also*, Complaint, ¶50: “Respondent ocean carriers further restrict choice at non-CCM ports and terminals through box rules that assign chassis ‘usage’ and thus reimbursement to their designated IEP rather than to competing chassis providers...These box rules apply to MH

movements as well, and are used by respondent ocean carriers at key ports and terminals, including the Ports of Los Angeles and Long Beach.”

IMCC has failed to establish that ocean carrier Respondents adopt or enforce “box rules” or that they restrict choice through box rules, specifically at the Port of LA/Long Beach, in the Pool of Pools, or elsewhere. Indeed, there is no evidence that the ocean carrier Respondents adopt or enforce “box rules” as alleged in the Complaint. To the contrary, what the evidence described below does show is that “box rules”, when they apply, are implemented by IEPs which control the relevant pool; and that all users of chassis at these locations, including the ocean carrier Respondents, are compelled to comply with the IEPs’ rules. ([REDACTED] [REDACTED]). Yet again, the facts show that the conduct of IMCC complains of conduct of IEPs and others, that the fact should is not conduct of ocean carrier Respondents.

This evidence was initially adduced in answers to interrogatories propounded by IMCC to each ocean carrier Respondent with respect to box rules at the Pool of Pools in Los Angeles/Long Beach. [REDACTED]

[REDACTED]

[REDACTED]

The ocean carrier Respondents’ Answers to Interrogatories are supported by evidence provided by the IEPs. [REDACTED]

[REDACTED]

[REDACTED]

⁷ Ocean carrier Respondents’ Answers to Interrogatories are attached to the Appendix: APP 1634-1785.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

In summary, it is the IEPs that implement and enforce “box rules” at proprietary pools, such as the Pool of Pools not the ocean carrier Respondents.

4. Ocean Carrier Respondents Do Not Withdraw from Chassis Pools

IMCC alleges violations of the Act by virtue of the ocean carrier Respondents’ “(w)ithdrawing from CCMP Agreement pools and designating single-provider chassis pools as the default provider for all container movements.” (Complaint, ¶3d) *See also*, Complaint, ¶78: “The Respondents who are members of the CCM Pool Agreement have engaged in an unjust and unreasonable practice by withdrawing from the GCCP and the COCP and/or designating default single provider pools.” Leaving aside the legal implications of IMCC’s position (that once an ocean carrier is supplied with chassis via an interoperable pool it can never change the source of its chassis), this claim is simply not supported by the undisputed facts.

Complainant’s allegations cast ocean carrier Respondents as the parties that join, participate in, and withdraw from chassis pools. This is understandable, given that within the industry (and in this proceeding), a carrier that ceases to obtain chassis from an interoperable pool is characterized as leaving or withdrawing from the pool. To the casual observer, this is a

⁸ Declarations by representatives of TRAC and Flexi-Van are attached to the Appendix: APP 0398-9 and 0402-3.

seemingly accurate description. However, what actually happens in such situations is that the IEP that contributes chassis to the interoperable pool opts to serve its major ocean carrier customer(s) in that location via a proprietary pool rather than the interoperable pool. The ocean carrier customer, which is more visible to the public and is a major customer of the IEP, is colloquially describe as “withdrawing” from the interoperable pool.

However, as the record makes clear, it is not factually accurate to say that an ocean carrier withdraws from a pool. Since ocean carriers are not users of chassis *vis-à-vis* the pool, they do not have a contract with the chassis pool operator, do not contribute chassis to a pool, and they have no contractual ability to withdraw from or remain with a pool. [REDACTED]

[REDACTED]. In reality, IEPs make business decisions about whether to serve their ocean carrier customers at a particular location via an interoperable pool or a proprietary pool. The ocean carrier customer may have a say in how it is served, or it may have little choice but to go along with the decision of the IEP. [REDACTED]

[REDACTED].

Regardless of the extent to which the ocean carrier has a say in the IEP’s decision, what is clear is that IMCC has offered no evidence whatsoever that the ocean carrier Respondents have chosen to source chassis from proprietary pools for purposes of denying choice to motor carriers. The record shows that to the extent the ocean carrier Respondents have the ability to influence how the IEP(s) with which they contract provide the chassis, these decisions are made for legitimate operational and commercial reasons that have nothing to do with motor carrier choice.

[REDACTED] Thus, IMCC has failed to show the conduct of ocean carrier Respondents is unreasonable.

The IMCC is, in effect, asking this agency to direct that the ocean carrier Respondents may only do business with an IEP which provides chassis through an interoperable pool and offers Choice to motor carriers. However, the Act cannot be read as requiring an IEP to belong to an interoperable pool, nor can it be read as imposing an obligation on an ocean carrier to require an IEP with which it has a chassis usage agreement to contribute chassis to and make chassis available only through an interoperable pool. Yet, this impossible standard is what IMCC would have the FMC declare to be the only “reasonable” means of chassis provision.

5. IMCC Has Failed to Show That the IEPs’ MH Rates Have Been “Compelled” By Respondents

IMCC further alleges violation of the Act because “the respondent ocean carriers mandate that IEPs enter into contracts that compel IEPs to overcharge motor carriers for chassis for MH movements. (Complaint, ¶47) *See also*, Complaint, ¶81: “By compelling IEPs to inflate MH chassis prices, respondent ocean carriers have caused significant harm to IMCC members as direct purchasers of chassis for MH movements.”

In discovery, the ocean carrier Respondents have produced numerous expired and current chassis usage agreements they have entered into with the IEPs and NACPC; the RFPs issued by ocean carrier Respondents which invited proposals for chassis usage agreements; and the written communications exchanged by the ocean carrier Respondents with the IEPs during negotiation of the chassis usage agreements. There is no provision in the chassis usage agreements which impose or specify rates that an IEP will charge for MH movements, and there is no evidence that any ocean carrier Respondent proposed or negotiated the MH rates charged by IEPs.

What the evidence does show is that IEPs and NACPC publish “rack” or “spot” rates, which are charged to customers and motor carriers for the use of the IEPs’ chassis. There is no evidence that the amount of these spot rates are influenced by the ocean carrier Respondents. The

evidence also shows that motor carriers regularly enter into contracts with IEPs and NACPC which provide for lower MH rates in exchange for contractual volume commitments. [REDACTED]

[REDACTED].

Faced with these undisputed facts, Complainant has essentially abandoned allegations that MH rates are “mandated” or “compelled” by ocean carriers. Instead, they have fallen back and now appear to rely on the vague allegation by one of their expert witnesses that the usage agreements contain [REDACTED]. (Langenfeld Dep., p. 203, l. 16- p. 205, l. 20, APP 1630-2) These [REDACTED] IMCC alleges, take the form of various “incentives” in expired and current chassis usage agreements which purported to provide financial benefits to the ocean carrier Respondents for increasing the volume of MH movements. However, there is no evidence that the ocean carrier Respondents acted upon these “incentives.” [REDACTED]

[REDACTED]

[REDACTED] There is no evidence that the ocean carrier Respondents increased their volumes of MH movements in an effort to receive financial benefits from doing so.

To the extent the chassis usage agreements between the ocean carrier Respondents and the IEPs provide for lower CH rates, this is done in recognition of the high volume of chassis usage which an ocean carrier brings to the table. Even the IMCC’s expert agrees that high volume users of chassis, such as ocean carriers, are expected to negotiate lower chassis usage rates:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

This is yet another “violation” of the Act which IMCC has failed to prove.

F. IMCC Has Failed to Demonstrate That Motor Carriers Have Been Harmed

Complainant has failed to meet its burden of proof showing that the challenged conduct is the proximate cause of any loss on the part of Complainant or its member motor carriers.⁹ Accordingly, it has failed to prove a necessary element of a section 41102(c).

1. The Calculation of Alleged Damages is Flawed.

Complainant alleges that motor carriers suffered damages of “as much as \$1.8 billion during the three years prior to the filing of the complaint.” Complaint, ¶¶ 4, 82. But the undisputed facts discussed below demonstrate that IMCC has failed to demonstrate any economic loss on the part of motor carriers.

Although the Complaint does not explain how the \$1.8 billion figure was calculated, the methodology was explained by David Manning in his deposition, where he characterized the calculation as a [REDACTED] The calculation methodology and the flaws in same are laid out in detail in the Coates Declaration, ¶¶ 29 to 34. These flaws include: (i) improperly attributing the difference between the NACPC rate and the IEP rack rate to ocean carrier overcharges rather than lawful volume differential pricing; (ii) improperly using the lowest NACPC rate (which is not widely available) and the highest IEP rack rate (which is often discounted) to calculate the differential; and (iii) improperly using only two rates to calculate the differential, when actual rates vary by location.

⁹ Showing that the practice or regulation being challenged is the proximate cause of loss is a necessary element of a claim for reparations under section 41102(c). See, 46 C.F.R. §545.4(e). While Complainant does not seek reparations in this case, the alleged financial harm to motor carriers is a key element of its claim that Respondents’ practices are unreasonable.

In addition to the flaws outlined above, IMCC’s “evidence” of harm fails because they do not use actual cost and pricing data from IEPs. Although IMCC subpoenaed the IEPs, it did not obtain actual cost and pricing data and instead was satisfied with receiving only limited stipulations that provide no data that support a conclusion that motor carriers have suffered economic harm. Because the fallback position taken by IMCC and Dr. Langenfeld are both admittedly based on wholesale assumptions of IEP cost and pricing, rather than any actual data from the three major IEPs in the industry, there is no evidence supporting the alleged damages.

2. Motor Carriers Mark-Up Chassis Costs

The undisputed evidence shows that motor carriers are not harmed by the *status quo* because they mark-up chassis costs and collect more from their customers for chassis than they pay to IEPs. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] And, Mark George, the corporate designee of IMCC, NACPC and Intermodal Cartage (a motor carrier)¹⁰ candidly admit that the routine mark-up of chassis usage charges: [REDACTED] (Mark George Dep., p. 31, ll. 16-17, APP 0163; Exh. 4, APP 0196-228). [REDACTED]

[REDACTED]

[REDACTED]

IMCC offered no evidence that suggests that if IMCC were to prevail and motor carriers were to be granted unfettered choice, that motor carriers would change their current practice of

¹⁰ Mark George is the Chairman of NACPC, the Vice Chairman of IMCC, and the founder and CEO of Intermodal Cartage, the latter being one of the owners and corporate members of NACPC.

charging higher rates to their customers even when paying lower charges or that the sweeping “remedies” that IMCC seeks would in any way translate into lower MH chassis charges to cargo interests by motor carriers. Indeed, based on the actual evidence of motor carrier practices, it is more likely that MH chassis charges to motor carrier customers would remain unchanged, and motor carriers would simply earn a larger profit. Those motor carriers that own NACPC would stand to reap the greatest financial reward, as they would benefit from both what they expect would be increased use of NACPC chassis and increased profit margins on MH movements.

Given that motor carriers charge their customers more for the use of MH chassis than the motor carrier pays the IEP, Complainant has failed to demonstrate any harm to motor carriers as a result of the practices that are the subject of the Complaint and therefore to prove a necessary element of a claim under section 41102(c).

3. Complainant Has Failed to Demonstrate that Respondents’ Practices Are the Proximate Cause of Any Harm to The Shipping Public

Apparently aware of the fatal flaws in its arguments that the *status quo* harms motor carriers, the IMCC attempts to bolster its position by alleging in the Complaint that the *status quo* harms the shipping public. Complaint, ¶¶4, 56. However, the Complaint tellingly discloses that such allegations are nothing more than a fig leaf, given that every specific allegation of harm alleges only harm to motor carriers. Complaint, ¶¶48, 57, 77, 80-82. Moreover, the undisputed facts show that IMCC has failed to demonstrate any harm to the shipping public, other than through conjecture and supposition.

IMCC has not provided any evidence whatsoever that any cargo owner or other motor carrier customer has suffered economic harm as a result of the practices IMCC challenges. It has not obtained evidence of pricing or costs from IEPs, and has not subpoenaed or deposed a single importer, exporter, or other transport user as to the impact of current chassis provision practices.

In addition to this lack of evidence, IMCC's conjectural arguments as to harm are also flawed. IMCC alleges that undercharges for carrier haulage chassis result in overcharges for merchant haulage chassis. Complaint, ¶¶ 3(f), 48. However, by focusing solely on MH, IMCC neglects to consider the benefit of the highly competitive CH market to transport users. For example, in calculating the damages allegedly suffered for overcharges, IMCC neglects to reduce the alleged harm to the shipping public by the savings that the public realizes from the alleged undercharges for carrier haulage movements.

While IMCC does not seek reparations, the economic harm allegedly caused by Respondents' practices is a key component of their allegations of unreasonableness. As explained above, IMCC has not met its burden of proving the alleged economic harm. Accordingly, it has also failed to establish a necessary element of an unreasonableness claim under section 41102(c).

VII. The Complaint Must Be Dismissed Because The Complainant Has Failed To Join Necessary and Indispensable Parties Without Whom Relief Cannot Be Granted

The ALJ observed that IMCC's complaint "does not cite any terms of contracts between ocean carriers and trucking companies" and that IMCC's claim "contests industry-wide agreements among regulated entities filed with the FMC." And, the ALJ stated, that "[i]t is not clear that chassis providers are necessary parties" since "the complaint does not cite provisions in chassis provider contracts and no contracts between ocean carriers and chassis providers are currently part of the record." Order Denying Motion for Leave, at 4-5; 7. However, the ALJ noted, "[i]t is possible that this proceeding could have an impact on ocean carrier contracts with chassis providers if a violation of the Shipping Act is found." *Id.* at 8. The ALJ further stated that "[e]ven if chassis providers are necessary and their joinder is not feasible, the Federal Rule 19(b) factors – prejudice, shaping relief, adequate relief, and alternative forums – weigh in favor of continuing the proceeding." *Id.* The chassis usage agreements are now before the ALJ, and a fulsome evidentiary

record showing that the IEPs are necessary and indispensable parties has been developed. This evidence is discussed below.¹¹

A. The Allegations of IMCC's Complaint Actually Target the IEPs' Conduct

By its Complaint in this proceeding, IMCC requests the Commission to order, among other things, that the Ocean Carriers:

- (1) Remove and cease and desist from enforcing CCMP Operations Manual Section 5.7, which requires ocean carrier and chassis provider consent for motor carrier designation of a chassis provider on MH moves;
- (2) Cease and desist from adopting, maintaining and/or enforcing any regulation or practice that limits a motor carrier's ability to select the chassis provider it designates for MH movements or other movements for which it is billed for usage or per diem, or otherwise promotes, advantages, or requires the use of default chassis providers for such moves;
- (3) Cease and desist from adopting, maintaining, and/or enforcing default provider designations for merchant haulage container movements or other movements for which a motor carrier is billed for usage or per diems [and] any regulation or practice that restricts the ability of motor carriers independently to negotiate chassis prices for such movements; and
- (4) Cease and desist from utilizing single-provider chassis pools that are not interoperable with pools operated by other IEPs at all ports and intermodal terminals serving more than one Respondent under rules that do not permit chassis choice for motor carriers for MH container movements or other movements for which a motor carrier is billed for usage or per diems.

Complainant., Request for Relief, ¶ 3(a)-(e).

IMCC's Complaint is an exercise in sleight-of-hand. While IMCC's allegations purport to object to the ocean carrier Respondents' practices and conduct, the record demonstrates that IMCC actually is challenging conduct by the IEPs. David Manning, an owner and the President of NACPC, the former Chairman of ATA and former President of TCW, admitted that, [REDACTED]

¹¹ The legal grounds supporting Respondents' argument that the Complaint should be dismissed because the Complainant has failed to join necessary and indispensable parties, without whom relief cannot be granted, were set forth in Respondents' Motion to Dismiss and their Motion for Leave to Appeal. For the sake of brevity, these legal grounds will not be repeated and are incorporated herein.

[REDACTED]

[REDACTED]

[REDACTED]. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

B. The IEPs, Not the Ocean Carriers, Contribute Chassis to Pools

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Tellingly, the re-forming of the MCCP did not occur because DCLI declined to participate.

C. The IEPs Are Necessary and Indispensable Parties to This Proceeding

The Ocean Carriers' relationships with the IEPs are governed by separate Chassis Usage Agreements between those parties. The Ocean Carriers owe legal duties and obligations under those contracts, which are enforceable by the IEPs. In the event that the Commission grants the relief requested by IMCC, the Ocean Carriers would be in material default under their Chassis Usage Agreements with the IEPs. Since the IEPs are not parties to this proceeding, they would not be bound by any such ruling. Therefore, IMCC could not obtain complete relief in those circumstances. The IEPs also could bring legal actions against the ocean carrier Respondents to enforce their contractual obligations. If the IEPs prevailed, the ocean carrier Respondents would be subject to inconsistent obligations, with the Commission enjoining them from performing the Chassis Usage Agreements and the courts ordering them to do so. Thus, the IEPs qualify as necessary parties under the factors stated in Rule 19(a) and must be joined in the action. However, the Commission lacks personal jurisdiction over the IEPs since they are not common carriers, marine terminal operators or ocean transportation intermediaries, which are the only entities that are subject to 46 U.S.C. §41102(c).

Further, the IEPs constitute "indispensable" parties under Rule 19(b) since: (1) a judgment in this proceeding without joinder of the IEPs would be inadequate and would prejudice the IEPs and the ocean carrier Respondents; and (2) "[i]t is well-settled that in an action to set aside a contract, all parties to the contract must be present." *Natural Resources*, 539 F.Supp.2d at 1185. Accordingly, this action should be dismissed since the IEPs are indispensable parties under Rule 19(b) and cannot be joined as respondents in this proceeding.

VIII. Conclusion

For the foregoing reasons, summary judgment should be granted in favor of the Respondents and the Complaint accordingly dismissed.

Respectfully submitted,

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